

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Google parent Alphabet** is in advanced talks to acquire cybersecurity startup Wiz for around \$30 billion after an earlier round of negotiations collapsed. **A1**
- ◆ **Investors welcoming** a rise in retail sales helped propel a stock rally that lifted the S&P 500, Dow and Nasdaq by 0.6%, 0.9% and 0.3%, respectively. **A2, B11**
- ◆ **A fast-growing and** mostly secret mortgage blacklist is hindering condominium owners' ability to sell their properties. **A1**
- ◆ **The salary difference** between workers who stay in their roles and those who change jobs has collapsed to its lowest level in 10 years, federal data show. **A1**
- ◆ **Fast-fashion retailer** Forever 21's U.S. operator filed for bankruptcy as a casualty of changing consumer spending and foreign competition. **B1**
- ◆ **Bank of America** tightened its oversight of young bankers' workloads, the firm's latest change since the death of an employee working 100-hour weeks. **B1**
- ◆ **PepsiCo agreed to** acquire prebiotic soda brand Poppi for \$1.95 billion, adding a drink with health claims as sales of traditional sugary drinks go flat. **B3**
- ◆ **Nippon Steel and U.S. Steel** received an extension for their lawsuit over their proposed merger, allowing negotiations with the U.S. government to go on longer. **B3**
- ◆ **Spanish banking giant Santander** is pushing to expand its U.S. operations through a partnership that taps into Verizon's vast customer base. **B4**

World-Wide

- ◆ **Israel launched** a series of attacks against Hamas targets across the Gaza Strip, the most extensive since the cease-fire took effect in January, threatening a return to war after talks to release the remaining hostages held in the enclave stalled out. **A7**
- ◆ **Trump said he** would hold Iran responsible for any future attacks by the Houthis in Yemen, threatening unspecified consequences for the Islamic Republic after the White House ordered strikes against the militants. **A7**
- ◆ **Trump questioned** the validity of pardons granted by Biden before he left office, signaling that the new administration could move to investigate those given legal immunity by his predecessor. **A4**
- ◆ **Trump targeted** for deportation hundreds of thousands of immigrants who came to the U.S. under a Biden administration program that offered them a legal path into the country. **A4**
- ◆ **Harvard University** expanded financial aid to make undergraduate admission tuition-free for families making up to \$200,000 and completely free for families making up to \$100,000. **A3**
- ◆ **Evidence suggests** that a decommissioned power line unintentionally brought back to life might have caused the deadly Eaton fire in Los Angeles in January. **A3**
- ◆ **Parts of a book tour** for Chuck Schumer were postponed after activists had planned protests in the wake of the Democratic senator's "yes" vote on a GOP-led government-funding bill. **A5**

CONTENTS	Markets..... B11
Arts in Review..... A11	Opinion..... A13-15
Business & Finance B2-B6	Personal Journal A9-10
Business News..... B3	Sports..... A12
Crossword..... A11	Technology..... B4
Heard on Street. B12	U.S. News..... A2-6
Market Data..... B7	World News A7-8, A16



Israel Resumes Strikes in Gaza After Talks Stall



REUTERS

CASUALTY: A wounded Palestinian was brought to a hospital in Gaza early Tuesday after Israel attacked Hamas targets. Prime Minister Benjamin Netanyahu vowed 'increasing military force' over the militant group's failure to release hostages. **A7**

A Secret Mortgage Blacklist Leaves Condos Unsellable

By JEAN EAGLESHAM AND NICOLE FRIEDMAN

Condominium owners across the country are facing a paralyzing problem: They can't sell their properties because of a fast-growing and mostly secret mortgage blacklist. Real-estate agent Paul Gangi was days away from closing a sale of his listing in Shadow Ridge, a 440-unit townhouse and condo complex in Ventura County, Calif., in December. That is when his phone rang. "I got a panicked call from the lender saying, 'Sorry,

we've just found out Shadow Ridge has been blacklisted,'" he said. The buyer tried several other options for getting a loan, without success, and the sale collapsed. The blacklist is maintained by Fannie Mae and includes condo associations that the mortgage-finance giant thinks don't have adequate property insurance or need to make critical building repairs. Being on the list can make it harder for potential buyers to get a mortgage. According to lenders and real-estate agents, Fannie Mae

greatly expanded the list after the Surfside condo collapse in Florida in 2021 killed 98 people. Compounding the problem, a nationwide insurance crisis is making it more expensive for condo associations to afford adequate coverage. The number of properties that fail to meet Fannie Mae's standards has risen to 5,175 this month from a few hundred before Surfside, according to Stephen Marcus, a condo lawyer at Boston law firm Alcock & Marcus. Like other industry legal and finance players, he has access to the list of properties that

don't meet the criteria. Fannie Mae and sister organization Freddie Mac don't make loans, but buy about half of the country's home loans from lenders and package them to sell to investors, then guarantee payments on them. Loans that meet Fannie or Freddie's underwriting standards, known as conforming loans, can be less expensive and require lower down payments than bespoke mortgages. To ensure the debt can be repaid should the property be damaged or destroyed, Fannie and Freddie have long re-

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Workers Switching Jobs See Pay Raises Diminish

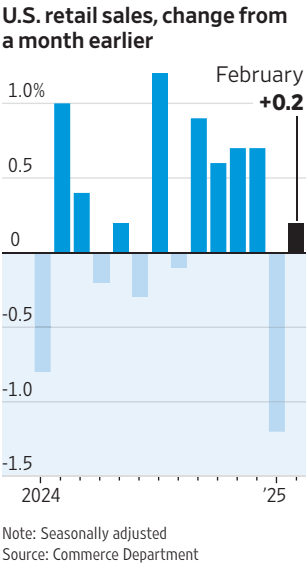
By KATHERINE BINDLEY AND LYNN COOK

It used to pay to switch jobs. Now it doesn't. The salary difference between those who stay in their roles and those who change jobs has collapsed to its lowest level in 10 years, according to the latest federal data. Job stayers increased their wages by about 4.6% in January and February. Meanwhile, those who switched jobs received only slightly more at 4.8%. That gap has narrowed considerably since the start of 2023, when job switchers could fetch an average salary bump of 7.7%, compared with job stayers' 5.5%. "We're not in a recession obviously, but things are not as good as before," said Yongseok Shin, a professor of economics at Washington University in St. Louis. "People are responding by staying put." Keith Sims runs Indianapolis recruiting firm Integrity Resource Management and places teams of five to 40 people in software implementation with big companies such as Panasonic. Many offers are coming in low these days. "We're seeing wages be off from expectations most of the time," he said. Kim Vandrilla, 42 years old, had been working as a creative director for a major consumer brand up until this past fall when she was laid off. She was

Please turn to page A9

Retail Sales Rise Slightly

Sales edged up a seasonally adjusted 0.2% in February from the prior month, less than economists expected. **A2**



The Collateral Damage Of Trump's Firing Spree

From veterans hospitals to national parks, rapid cuts to federal workers are eating into services

By LINDSAY ELLIS

At Veterans Affairs facilities in Detroit and Denver, staff reductions have led to canceled health programs and left homeless veterans without their dedicated coordinator to help them find an apartment and line up a deposit. In Alabama, job cuts at the Education Department have slowed efforts to get disabled children access to classrooms. And in California, Yosemite National Park paused new reservations for more than 500 campsites during peak summer months because of staffing uncertainty. An unprecedented effort to shrink the federal labor force is impeding work at government sites across the country and

spawning unintended consequences for services Americans rely on. The U.S. government is America's largest employer, with 2.4 million civilian workers as of January, excluding the postal service. The Trump administration has started cutting tens of thousands of jobs through a plan encouraged by Elon Musk's Department of Government Efficiency that aims to reduce the size of government by \$1 trillion this fiscal year, roughly 15% of last year's spending. The goal is to cull a workforce that President Trump has said includes many people who aren't doing their jobs. Oxford Economics, a data provider and con-

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◆ **States snap up fired cyber workers..... B4**

Warren Buffett's March Madness: He Can't Give Away \$1 Million

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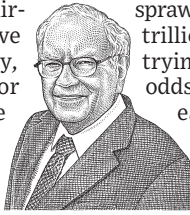
Billionaire makes it easier to win big prize in his bracket contest; 'I'm getting older'

By KAREN LANGLEY

Some guys can't catch a break. Warren Buffett, chairman and chief executive of Berkshire Hathaway, has been trying for nearly a decade to give away \$1 million in the conglomerate's annual bracket contest for the NCAA men's basketball tournament. But employees across Berkshire's roster of companies—from BNSF Railway to insurer Geico to See's Candies—keep

throwing up bricks. Now Buffett, who steered Berkshire's growth from a struggling textile maker to a sprawling empire with a \$1 trillion market value, is trying to improve their odds by making the prize easier to win. Last year, about 65,000 of Berkshire's nearly 400,000 employees participated. "I'm getting older," the famed stock picker, who is 94, told The Wall Street Journal. "I want to give away a

Please turn to page A10



Hoop dreams

Google Nears Purchase Of Wiz for \$30 Billion

By LAUREN THOMAS AND BERBER JIN

Google parent Alphabet is in advanced talks to acquire cybersecurity startup Wiz for around \$30 billion, according to people familiar with the matter. A deal would be Google's largest ever and could come together soon, barring any last minute snags, like those that had killed an earlier attempt to strike a deal, the people said. Alphabet had been close to a roughly \$23 billion deal for Wiz last summer, The Wall Street Journal previously reported. The talks fell apart, however, as Wiz and some of its

investors had concerns about the time it would take for a deal to clear regulatory hurdles, among other issues. Bankers and CEOs came into the year hoping for big deals, but market volatility and Washington turmoil have sapped confidence. Google moving to strike its biggest deal ever, and one of the biggest deals of the year, would be a test of the Trump administration's antitrust appetite and a barometer for other tech deals. Wiz, which offers cybersecurity software for cloud computing, is based in New York, with additional offices in the

Please turn to page A2